SUPERK-TAXI KOREA

Deep Dive Strategy Presentation

Building a credible #2 in Korean ride-hailing

Back-to-basics supply and service, Korean-first experience, regulation-ready future

Strategy horizon: H2 2024 (Day 1: 1 August 2024) through 2027

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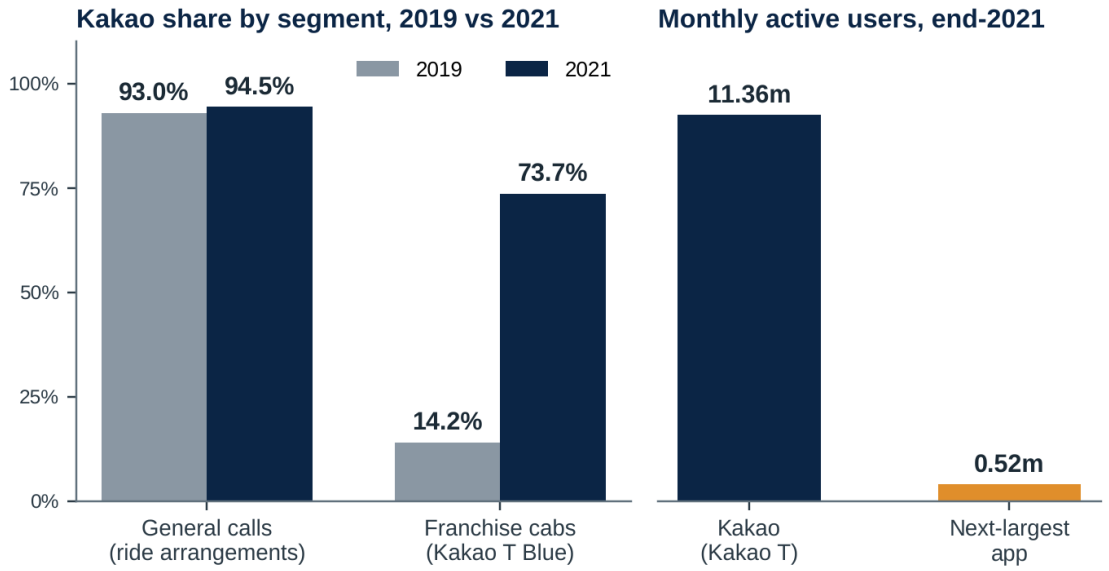
For: Korea CEO and Asia Regional Strategy Head

Date: May 2024 | Status: draft for strategic discussion and investment planning

Basis of preparation. Market facts use public sources available up to May 2024 (regulators, city governments, national taxi associations, press and academic work). SuperK-T internal baselines were not supplied for this paper; they appear as working assumptions tagged **[A]** and must be validated by Finance and Operations before any investment approval.

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Kakao controls the market; the #2 slot is open, but the gap is wide



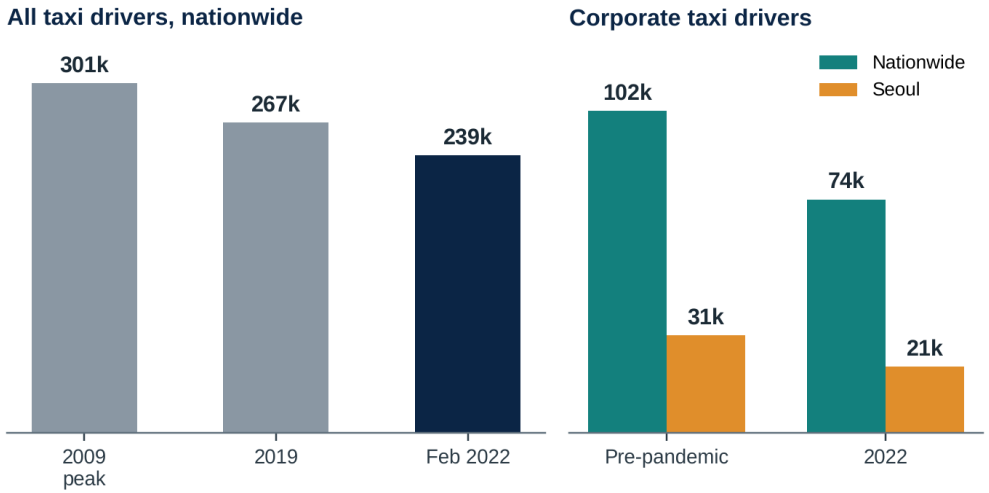
Read-across: general calls are largely locked up by Kakao. The contest that matters is the franchise and premium layer, where call-routing rules, car quality and pickup-time promises decide who wins riders.

- **Dominance is structural.** Regulator data put Kakao's share of general ride arrangements at about 94% in 2021, up from about 93% in 2019.
- **Franchise is the real battleground.** Kakao T Blue's share of franchise cabs rose from 14.2% (2019) to 73.7% (2021). The regulator found call allocation tilted toward its own cabs and fined Kakao KRW 25.7bn in February 2023.
- **Rivals are sub-scale.** At end-2021 Kakao had about 11.4m monthly users; the next-largest app had about 0.5m, roughly one-twenty-second of Kakao's base.
- **The field beyond #2 is fragmented.** Uber (via the UT joint venture with TMAP Mobility, launched 2021), Tada (Socar and Viva Republica), i.M, Macaron Taxi and shared-ride Banban all compete for the remainder.
- **Tada has lost momentum.** Reports said it cut at least half its staff after merger talks with i.M's owner collapsed.
- **SuperK-T baseline [A]:** a newly rebranded challenger with a small partner-driver pool and a low single-digit share of Seoul calls. Replace with Operations data by 30 June 2024.
- **Candid view:** the rebrand is not a moat. Kakao's installed base, dense driver supply and the algorithm it was fined for are what we must out-execute, not out-market.

Decision for CEO: commit to a segment-first challenge for 2024–25 (late-night, airport and inbound, corporate, safety-led), not a national share race against Kakao on general calls.

Sources and notes: *OECD Competition Committee note DAF/COMP/WP3/WD(2024)6 (general-call share); Korea Times, 14 Feb 2023, and KED Global, Feb 2023 (KFTC decision, franchise shares, monthly users); TechCrunch 2023 (Tada staffing and merger talks); Asia Business Daily, 2020 (Macaron and Uber franchise entry). [A] = SuperK-T working assumption, not verified.*

Supply, not demand, caps growth: four constraints set our strategic imperatives



Demand outran supply. Taxi calls more than tripled over two years to 2022 while the number of drivers fell by over 8%.

1. Supply shortage. Corporate drivers fell from about 102k before the pandemic to 74k by 2022. Roughly 10,000 drivers moved to delivery work, and late-night calls were accepted only about one time in five.

2. Driver economics. Corporate drivers' average transport income (about KRW 1.69m a month in a Seoul Institute survey published in 2021) sat below the minimum-wage equivalent. Daily-quota pay and licence prices near KRW 80m keep new entrants out.

3. Trust gap. Seoul riders' top complaints were reckless driving (20.8%) and refused pick-ups (19.1%). 42.7% said recent fare rises had not made hailing easier.

4. Regulation. Seoul's base fare is KRW 4,800 (since Feb 2023). Late-night call fees are capped. The 2020 amendment shut Tada's rental-van model, which the Constitutional Court upheld, and franchise and platform licences are gated by strict conditions.

Strategic opportunities

11.0m
foreign visitors in 2023 (17.5m in 2019); government aimed for 20m in 2024

18.2%
of Koreans were aged 65+ in 2023; accessible, safe service is a growing need

~30%
of new taxis registered 2021–23 were electric, up from ~2% in 2018–20

Policy fit
Seoul calls for corporate taxi leasing and night-shift priority

Imperative: fix supply reliability before buying demand. Marketing spend on a car that never arrives destroys trust faster than it builds share.

Sources and notes: *Asia Business Daily, 2022 (call growth, driver counts, average income); Asia News Network, 2022, and Seoul Metropolitan Government, Nov 2022 (corporate driver decline, delivery moves); Korea JoongAng Daily, 2022 (late-night acceptance); Seoul Institute 2023 survey via Seoul Economic Daily; Korea Herald, Feb 2023 (fare); Asia Business Daily and Seoul Institute (income survey published 2021); Korea Times (2021 licence cost); Ministry of Culture, Sports and Tourism (2023 visitors); Statistics Korea 2023 via Silver Economy; Asia Business Daily, 30 May 2024 (EV share).*

Plan A, supply: earn drivers' trust first, then add cars where calls go unanswered

Proposed supply targets [A]

~3,000
active late-night cars in Seoul by Q4 2025, rising to ~3,600 by end-2026 (12–15% of Seoul's 24,000 late-night target)

≥50%
late-night call acceptance on SuperK-T calls by Q2 2025, up from the ~20% market reference

≥75%
90-day retention of newly activated partner drivers

15% → 40%
electric or hybrid share of partner fleet, by 2025 and 2027

Flywheel: fair pay brings more active cars, which shortens waits, which lifts rides and driver earnings in turn.

Lever	What we do	Start
A. Earnings floor and transparency	Monthly floor of about KRW 2.0m for drivers who meet activity thresholds. No daily quota. Publish the full fare-and-commission schedule.	Pilot Aug 2024; scale Q1 2025
B. Night-shift proposition	Night-only and Friday/Saturday shift packages. Stack platform night incentives on the Seoul late-night surcharge.	Aug 2024
C. Recruitment funnel	Win back drivers who moved to delivery. Partner with corporate fleets that have idle cars. Fast-track licences (government allows a licence within three months for applicants with a clean criminal record). Recruit Korean-speaking foreign-national drivers.	From Sep 2024
D. Vehicle access	Corporate-taxi lease partnerships. OEM-backed EV and hybrid finance, stacking national and taxi-specific subsidies.	Pilot Q4 2024
E. Quality and safety	Driver scorecards (complaints, cancellations, speeding alerts) and coaching for reckless driving. Shift plans that account for driver age and fatigue.	From Aug 2024

- **Benchmark:** reporting puts Kakao's franchise chain at about 20% of fares at operator level, with drivers paid 15–17%, and drivers complain the total commission is high. A flat, published schedule is an easy contrast.
- **Night capacity is the binding limit:** Seoul's 2023 plan relied on platforms and firms to add about 2,500 night taxis. We should be a visible contributor to that effort.

Decision: approve the earnings-floor pilot. Illustrative cost is about KRW 1.8bn (about US$1.3m) a year for 1,000 drivers, and authorise the search for corporate-fleet and lease partners.

Sources and notes: *Asia Business Daily, Nov 2023 (2,500 extra night taxis, 24,000 target, lease-system request); Seoul Metropolitan Government, Nov 2022 (night-shift and 7,000-vehicle plan); Asia News Network, 2022 (licence within three months, part-time night work); Kyunghyang Shinmun, Jan 2024 (base salary of KRW 2.0–2.1m); Asia Business Daily, 2022 (daily-quota pay); Korea JoongAng Daily, 2023 (franchise fee split and commission complaints). [A] = working assumption.*

Plan B, demand: win four segments where service is weakest and reliability can be measured

Segment	Evidence of the gap	Our promise	Proposed KPI
1. Late-night commuters Seoul core, 10 pm to 2 am	About one in five late-night calls is accepted. Short rides of 5–15 km are accepted only about 10% of the time, because drivers prefer longer trips.	Fair dispatch: short trips are never skipped. Pre-booked night rides are guaranteed, or the fare is refunded.	Night acceptance ≥50%; pre-booking reaches 15% of night rides
2. Airport and inbound visitors Incheon and Gimpo	Foreign riders' top app problem is entering an address in a foreign language (44.5%). Booking difficulty (10.2%) and fare mismatches (9.1%) follow.	Fixed airport fares shown before booking. English, Japanese and Chinese UI with driver chat. Card payment and pay-to-driver.	Airport 8% of rides [A]; fare-dispute rate below 1%
3. Corporate and SME accounts	Kakao T Business reported over 7,000 corporate customers in 2020, which sets the benchmark for the category.	One monthly invoice, employee travel-policy controls, and a safe-ride tier for staff trips.	500 active accounts by end-2025 [A]
4. Safety-first riders Women, seniors, families	Reckless driving is the most common complaint about Seoul taxi drivers (20.8%).	'Verified driver' tier (clean record and top-quartile scorecard), live trip sharing, and a 24-hour complaint response.	Complaint rate halved by end-2025 [A]

Operational fixes, Aug–Oct 2024 (no-regret)

- Peak-hour app stability and a dispatch-failure alert that Ops can act on within minutes.
- Driver cancellation rules, with penalties applied to drivers and not to riders. Korean and foreign-language address search. In-cab payment by card and T-money.

Decision: which two segments take H2 2024 marketing spend? Recommendation: segments 1 and 2, because they have the largest measurable service gaps.

Sources and notes: *Korea JoongAng Daily, 2022 (late-night acceptance and short-trip rates); Seoul Institute 2023 survey of 1,038 residents and 512 foreign airport arrivals, via Seoul Economic Daily and Asia Business Daily; Asia Business Daily, Dec 2020 (Kakao T Business customers); Korea JoongAng Daily, 2022 (driver preference for long trips). [A] = working assumption.*

Future-proofing (1): secure licence options and partnerships before the rules move

Pathway	Status today	Upside	Risk	Recommendation
1. Franchise taxi operator (current law)	Licence-based. Kakao T Blue held 73.7% of franchise cabs in 2021; Macaron Taxi had about 10,000 franchise cabs in 2020.	Premium and quality-car offer, pickup-time promises, fastest route to scale	Kakao's dispatch advantage; KFTC scrutiny; capex and driver recruitment	**Pursue.** Decide on licence or partner acquisition by Q3 2024.
2. Platform transport business (2020 amendment)	Allows rented cars with intermediated drivers under strict conditions. Tada's rental-van model is excluded.	Fleet-based model with its own unit economics	Heavy conditions, including a MOLIT contribution requirement; slow timing	**Prepare the case.** No commitment before 2025.
3. Autonomous partnership	Government target: at least one commercial Level 4 vehicle by 2027. Seven pilot zones. Gangnam shuttle zone since 2023. Level 4 standards and insurance targeted for 2024.	Long-run cost curve; access to city pilots that platforms may join	Heavy capex; regulatory timing; taxi-union resistance	**Partner, do not build.** Scout OEM and AV MoUs in 2025.
4. Neutral, auditable dispatch	KFTC sanction (Feb 2023) over an algorithm that favoured Kakao's own franchise cabs.	A regulator-friendly differentiator that builds rider and driver trust	Possible short-term dip in match rates	**Adopt from Day 1.** Publish dispatch rules and audit them.

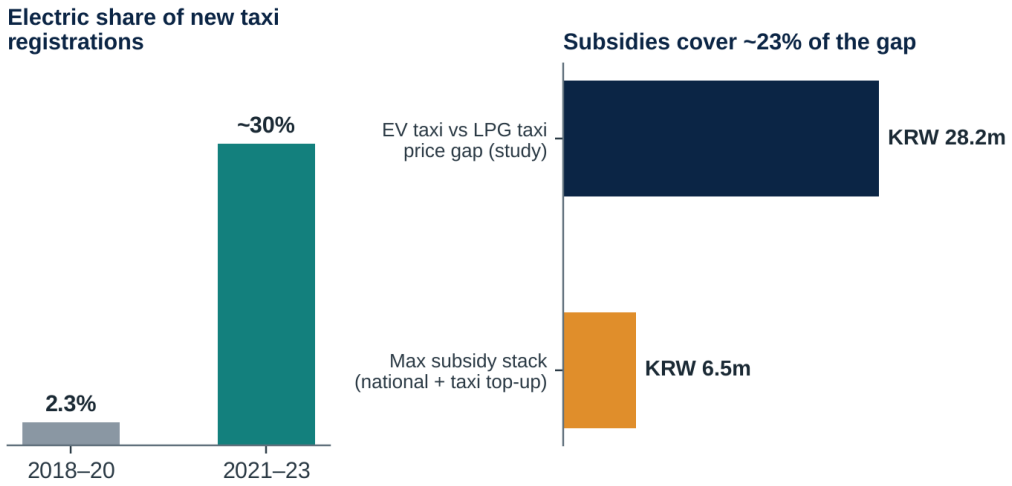
Stakeholder compact with the taxi sector

- Taxi unions are large and mobilise well (about 270,000 drivers in one of the largest unions; over 70,000 drivers struck in 2018). Treat them as partners in the design.
- Offer a shared-earnings model, a licence ladder for drivers, and early consultation through the National Joint Conference of Taxi Associations.

Decision: confirm by Q3 2024 whether to pursue a franchise licence (Pathway 1) and mandate the platform-licence case (Pathway 2) for 2025, with autonomy as a partnership option only.

Sources and notes: *Asia Business Daily, 2020 (Macaron franchise cabs) and KED Global, Feb 2023 (Kakao T Blue shares); Lexology, 2020 (platform transport business conditions); Korea Herald, 2021 (Constitutional Court ruling on rental vans); Korea Herald, Jan 2023 (Level 4 standards and insurance); Leddar white paper, Dec 2023 (Level 4 target, pilot zones); 2030 Seoul Plan analysis (Gangnam shuttle zone, 2023); SCMP and Seoul Institute reports (union size, 2018 strike).*

Future-proofing (2): electrify in step with subsidies and charging, then gate investment



- **City ambition:** Seoul planned about 10,000 electric taxis by 2025, roughly 15% of its fleet. Corporate garages lagged because of charging gaps.
- **Subsidies are real but partial:** the 2024 national EV budget is about KRW 1.7tn. Taxis get an extra KRW 2.5m, and the cap for medium and large EVs fell to KRW 4m. On the prices in a Seoul case study, the stacked subsidy covers only about 23% of the EV-to-LPG gap (our calculation).
- **Model choice matters:** some EV models must be modified before they can run as taxis. Push OEMs for taxi-spec vehicles. Hyundai and Kia's dedicated EV platform accounts for most electric taxi registrations.
- **Financing is the binding constraint:** we need lease, battery-warranty and garage-charging partnerships, not just subsidies.

Roadmap and investment gates (proposed)

Phase 0 · Aug–Oct 2024
Fix the basics
Earnings-floor pilot; dispatch rules; UX fixes; baseline validation

Phase 1 · Nov 2024–Jun 2025
Scale in Seoul
Late-night and airport scale-up; year-end surge plan; first corporate accounts

Phase 2 · Jul 2025–Dec 2026
Expand and electrify
Corporate push; EV and hybrid leases; Incheon and Gyeonggi

Phase 3 · 2027 onward
Future mobility
Autonomous partnership; platform-licence decision

- **Gate 1 (Dec 2024):** late-night acceptance ≥35% and driver retention ≥70%. Releases Phase 2 capital.
- **Gate 2 (Jun 2025):** EV lease unit economics positive at the proposed utilisation.
- **Gate 3 (2026):** licence pathway decision, based on regulatory signals and Gate 1–2 results.

Decision: approve Phase 0 and Phase 1 funding now. Hold Phase 2 capital until Gate 1 is passed, so that electrification follows proven demand.

Sources and notes: *Asia Business Daily, 2021 (10,000 EV taxis by 2025, charging gaps); Asia Business Daily, 30 May 2024 (2021–23 EV share of new taxis); Korea Herald, 2024 (subsidy cap and taxi top-up); IEA policy database, updated 17 May 2024 (KRW 1.7tn budget); Seoul-case EV study (EV taxi US$37.8k vs LPG US$17.2k; subsidy stack KRW 6.5m vs gap KRW 28.2m at ~KRW 1,370/US$, assumed); Asia Business Daily, 30 May 2024 (E-GMP share; conversion for some EVs).*

Decisions for today and questions for discussion

Decisions requested

- **1.** Endorse the segment-first strategy: late-night, airport and inbound, corporate, safety-led tier.
- **2.** Approve the Aug 2024 earnings-floor pilot (illustrative KRW 1.8bn a year for 1,000 drivers) with a spending cap and gate.
- **3.** Mandate Finance and Operations to validate the baseline (drivers, call share, acceptance, unit economics) by 30 June 2024.
- **4.** Decide by Q3 2024 whether to pursue a franchise licence, or buy a franchise operator, in Seoul.
- **5.** Scope an EV and hybrid lease pilot with an OEM partner, with a decision in Q4 2024.

Questions for the CEO and Regional Head

- How much downside can we absorb if Kakao reprices drivers or the regulator changes dispatch rules?
- Are we willing to fund driver supply ahead of rider demand, given the 2024 cash profile?
- Should we pursue foreign-national drivers openly, given public sensitivity to foreign labour?
- What autonomy appetite do we have, and which partner would we accept, given the 2027 timeline?
- Which three KPIs go to the board each quarter: acceptance, retention or contribution per ride?

Next 30 days

- Data pull: Ops and Finance baseline; acceptance by zone and hour; driver cohort economics.
- Stakeholder soundings with Seoul transport officials and the taxi associations; prepare the earnings-floor pilot brief.

APPENDIX A1 · ASSUMPTIONS AND ILLUSTRATIVE ECONOMICS

Working assumptions behind the numbers in this paper

Item	Value used	Basis	Status
Exchange rate	about KRW 1,370 per US$	Assumed May 2024 level; used only for conversions	Assumption
Driver earnings floor	KRW 2.0m a month	Base-salary range in full-salary corporate taxi firms, KRW 2.0–2.1m (Kyunghyang, Jan 2024)	Public data; floor is a design choice
Earnings-floor cost	1,000 drivers × avg KRW 150k a month × 12 = KRW 1.8bn (about US$1.3m) a year	Assumes half of pilot drivers sit about KRW 300k below the floor, based on the income gap in the 2021 survey	Assumption
Corporate driver income	about KRW 1.69m a month (survey published 2021)	Seoul Institute survey, reported in Asia Business Daily (2022)	Public data
Seoul late-night pool	24,000 taxis	City target stated in Nov 2023	Public target
SuperK-T share of late-night pool	12–15%, or about 2,900–3,600 cars	Strategic ambition, sized against the city target	Assumption
Late-night acceptance	about 20% market reference	Late-hour acceptance observed in 2022; 10% for 5–15 km rides	Public data
EV-to-LPG price gap	about US$20.6k (about KRW 28.2m)	Seoul case-study prices: EV US$37.8k vs LPG US$17.2k	Public study; dated
Subsidy stack	KRW 6.5m (up to KRW 4.0m national + KRW 2.5m taxi top-up), about 23% of the gap	2024 Korea Herald reporting; our calculation against the study's price gap	Public data
SuperK-T internal baseline	Drivers, call share, revenue, cash, unit economics	Not supplied for this paper. Must be provided by Finance and Operations.	**Gap to close by 30 Jun 2024**

Sources and notes: *All figures are as of May 2024 and rounded. Illustrative economics are not a forecast and must be rebuilt on internal data before approval.*

APPENDIX A2 · SOURCE REGISTER

Public sources used, with publication dates

Source (publisher or outlet)	Date	Used for
OECD Competition Committee, DAF/COMP/WP3/WD(2024)6 (Korean submission)	2024	General-call share, 2019 and 2021
Korea Times and KED Global (KFTC decision reporting)	Feb 2023	Kakao fine; franchise share 14.2% → 73.7%; monthly users; next-largest app
Korea Herald; Asia Business Daily	Feb 2023; 2022	Seoul base fare KRW 4,800; fare history; income survey
Asia Business Daily; Asia News Network; Korea Times; The Investor	2021–2022	Driver counts (2009, 2019, 2022); corporate drivers; licence cost; driver age
Seoul Metropolitan Government; Asia Business Daily; Korea Herald	Nov 2022; Nov 2023	Late-night measures; 24,000 target; corporate lease request
Korea JoongAng Daily; Korea Times (late-night call fees and acceptance)	Oct 2022; 2022	Late-night call fees; acceptance ratios; franchise fee split (2023)
Seoul Institute citizen survey (fieldwork Oct–Nov 2023), via Seoul Economic Daily	2023	Complaint shares; foreign-passenger app issues
Kyunghyang Shinmun	Jan 2024	Corporate driver base salaries; Seoul probe of pay practice
Ministry of Culture, Sports and Tourism; Statistics Korea (via Silver Economy)	2023–24	Inbound visitors; 2024 target; 65+ population share
Asia Business Daily; Korea Herald; IEA policy database	2021; early 2024; 17 May 2024	EV registrations; 2024 EV budget; subsidy stack; taxi-specific top-up
Seoul-case EV taxi study (Kang), Green Policy Platform	Undated	EV vs LPG taxi price assumptions
Lexology; Korea Herald (Constitutional Court)	2020; 2021	Platform transport business conditions; rental-van ruling
Korea Herald; Leddar white paper; 2030 Seoul Plan analysis	Dec 2023 – Jan 2024	Level 4 targets; pilot zones; Gangnam shuttle zone
TechCrunch; Mobility Innovators; Asia Business Daily	2020–2023	Tada ownership and staffing; Banban shared rides; franchise entrants
ScienceDirect (KOTSA-linked corporate taxi driver study)	2020	Use of KOTSA driver-management data for safety analytics

Sources and notes: *Information cut-off: public sources available to May 2024. Later developments and any figures published after that date are not used in this paper.*

APPENDIX A3 · RISK REGISTER

Key risks to the H2 2024 plan and proposed mitigations

Risk	Likelihood	Impact	Mitigation	Owner
Kakao responds on driver pay, bonuses or dispatch priority	High	High	Driver earnings floor; published dispatch rules; focus on four segments	Strategy, Ops
Regulator changes fare caps, call fees or franchise rules	Medium	High	Engage MOLIT and Seoul early; scenario plan; segment mix that is not fare-dependent	Government affairs
Taxi-union opposition or protests	Medium	High	Stakeholder compact; early consultation; shared-earnings design	Government affairs, HR
Earnings-floor cost overruns	Medium	Medium	Pilot cap; gate-based release of funds; activity thresholds and clawback	Finance
EV financing and residual-value risk	Medium	Medium	Lease partners; battery warranties; OEM buy-back terms	Finance, Fleet
Passenger safety incident	Low	Very high	Driver screening; scorecards; insurance review; 24-hour response	Safety
Autonomy timeline slips or capex escalates	High	Medium	Partner rather than build; option-based spend; stage gates	CTO, Strategy
Public sensitivity to foreign-national drivers	Medium	Low–Medium	Common licence and language standards; transparent hiring policy	HR

Sources and notes: *Likelihood and impact are the Strategy team's qualitative judgements for discussion. They should be reviewed with Legal, Finance and Operations.*